

# Microeconomics Principles

By Snowy222827

## Lecture 1: Introduction

1. We study: all types of human behavior: choices and consequences.

2. Economic Agents 经济主体: Who try to make choices in economic events.

\* 不一定是 individual, 也可以对一个 group

2. Scarce resources 稀缺资源: Things we want to have, but the amount that we want exceeds the amount that is available.

Scarcity exist because:

Unlimited wants vs. Limited resources

: How does society allocate the scarce resources in the economy?

\* 1. Individual choice

So Economics is the study of how agents choose to allocate scarce resources and how those choices affect

society. 2.\* A loop, you affect others and others affect you too

Economics study the original choice and its multiple consequences

|            |                                                                                                                   |
|------------|-------------------------------------------------------------------------------------------------------------------|
| why study: | 1. Describe or explain what people actually do (positive economics)                                               |
|            | 2. Recommends what people, including society, ought to do, or what is the right thing to do (normative economics) |

\* Positive statements describe what things actually are (实证的)

Normative statements describe what things ought to be (规范的)

Economics can give an answer to the positive questions, but itself cannot answer normative questions.

<sup>Principle 1</sup>  
3. Optimization: Choose the best feasible option, given whatever (limited) information, knowledge, experience, and training the economic agents have.

Some constraints:

- Financial Budget
- Time constraint
- Your mental capacity
- Education you received

\* information: the available information

optimization: based on your limited information, not the perfect.

4. Opportunity cost 机会成本: 因为选择某一方案而放弃的其他可选方案中价值最高者所能带来的利益损失.

5. The second Principle: Equilibrium

· Not only you can optimize

· Other people's behavior will influence what you decide to do

⇒ the special situation in which everyone is optimizing, so nobody would benefit personally by changing his or her own behavior.